

## Best's Credit Rating Effective Date

July 02, 2025

## Analytical Contacts

Omar Mostafa  
Senior Financial Analyst  
[Omar.Mostafa@ambest.com](mailto:Omar.Mostafa@ambest.com)  
+1(908) 439-2200 Ext. 908-882-1684

Kathryn Steffanelli  
Associate Director  
[Kate.Steffanelli@ambest.com](mailto:Kate.Steffanelli@ambest.com)  
+1(908) 439-2200 Ext. 908-882-2337

## Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

## Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

## New York Life Group

**AMB #:** 069714

**Associated Ultimate Parent:** AMB # 006820 - New York Life Insurance Company

## Best's Credit Ratings - for the Rating Unit Members

### Financial Strength Rating (FSR)

|                         |
|-------------------------|
| <b>A++</b>              |
| <b>Superior</b>         |
| Outlook: <b>Stable</b>  |
| Action: <b>Affirmed</b> |

### Issuer Credit Rating (ICR)

|                         |
|-------------------------|
| <b>aaa</b>              |
| <b>Exceptional</b>      |
| Outlook: <b>Stable</b>  |
| Action: <b>Affirmed</b> |

## Assessment Descriptors

|                            |                       |
|----------------------------|-----------------------|
| Balance Sheet Strength     | <b>Strongest</b>      |
| Operating Performance      | <b>Very Strong</b>    |
| Business Profile           | <b>Very Favorable</b> |
| Enterprise Risk Management | <b>Very Strong</b>    |

## Rating Unit - Members

**Rating Unit:** New York Life Group | **AMB #:** 069714

**AMB # Rating Unit Members**  
006645 Life Ins Co of North America  
068015 NYLIFE Insurance Co of Arizona  
006538 New York Life Group Ins Co NY

**AMB # Rating Unit Members**  
009054 New York Life Ins and Annuity  
006820 New York Life Insurance Co

## Rating Rationale

### Balance Sheet Strength: **Strongest**

- New York Life Group's (NYL) risk-adjusted capitalization is at the strong level as measured by Best's Capital Adequacy Ratio (BCAR), with ample financial flexibility along with continued strong liquidity to meet demand for obligations under stress scenarios. These positive qualitative factors support a balance sheet assessment level of strongest given the group operates as a New York regulated insurance enterprise, holding full statutory reserves funded by policyholder premiums, has greater asset adequacy requirements than a non-New York company and does not employ any permitted practices.
- Rigorous annual liquidity stress testing is performed and designed to capture tail-risk events.
- Reserve profile is weighted towards annuity products; this reserve profile is partially driven by the reserving dynamics between life insurance and annuity products, which generate higher reserves for annuity products in the earlier years. When Net Amount at Risk (NAR) for life insurance is included with reserves, NYL is heavily weighted towards life insurance. NYL has maintained strong reserves, posting a record high surplus in the current year while providing record high dividends to its policyholders.
- A well-diversified investment portfolio with a consistent approach towards credit risk and cash flow with a long-term view has been a strength for the group.

### Operating Performance: **Very Strong**

- NYL had positive earnings in 2024 primarily due to continued favorable year-over-year mortality experience, strong sales in career agency, increased net investment income, and combined increased spread and fee income, while also increasing overall sales in its products. Overall sales in annuities did increase in 2024 compared to 2023. However, NYL did manage expenses well and increased its capital and surplus while also paying a record high dividend to policyholders. NYL's career agency system differentiates itself against its competitors and the group continues to maintain full control over recruiting and training for the agency force. NYL maintains a diversified business model which reduces risk, and also provides different sources of income, as seen in NYL's Group Benefit Solutions (GBS) business, which saw a record year in sales in 2024 with lower mortality rates and a lower disability loss ratio.
- A majority of retail annuity sales have market value adjustment (MVA) features that reduce interest rate risk to the group if market rates increase materially, offset by vulnerability to spread compression in a low interest rate environment.
- Some degree of volatility in earnings will be expected as a result of the current economic conditions and its impact on certain asset classes within the group's investment portfolio.

### Business Profile: **Very Favorable**

- Broad product offerings and brand recognition, combined with a strong agency and direct distribution network, help NYL maintain a strong competitive position in key markets. NYL leverages its established industry-leading managerial career agency distribution channel in order to contribute to overall insurance sales.
- NYL continues to maintain favorable spread margins in a high interest rate environment while balancing annuity risk with MVA features and surrender charges. With a diversified operating model, NYL maintains leading market positions in many businesses, including: GBS, a leading provider of group life, accident & disability insurance; New York Life Investments (NYLI), a differentiated asset manager operating globally; NYLife Direct, which focuses on selling life insurance to AARP members; Seguros Monterrey New York Life, a wholly owned Mexican subsidiary; and NYL's Institutional Annuity and Institutional Life businesses which serve a variety of clients in these respective markets. Collectively, NYL's diversified operating model serves to improve the group's overall risk profile.
- Strong brand recognition and leading market position in retail life and guaranteed income and fixed deferred annuities, with a continued top-ranked position in overall U.S. individual annuity business and lead position in U.S. retail life sales as of year-end 2024.

### Enterprise Risk Management: **Very Strong**

- The group maintains a very disciplined enterprise-wide approach to risk management that ensures risks are properly identified, evaluated, and controlled in line with the group's risk strategy and capacity. All levels of the group's employee base have some role in the corporate-wide enterprise risk management and innovation efforts.
- Overall, very conservative investment policies and guidelines, with risk appetite constraints in place incorporating capital, earnings, liquidity, and franchise value.
- Group-wide stress testing designed to capture significant tail-risk events and emerging risks that are constantly monitored.

- NYL has a detailed cyber security defense strategy that is aligned with internationally recognized industry standards. As the industry continues to develop and innovate technology, cyber security will have an added importance to the group's overall enterprise risk management capabilities.

## Outlook

- The stable outlooks reflect the expectation that the group will maintain a balance sheet strength assessment in the strongest range along with solid operating results, contributing to surplus growth needed to support an expanding book of business.

## Rating Drivers

- Negative rating action may occur if New York Life Group were to experience material credit impairments within its general account assets.
- Negative rating action could result if New York Life Group exhibits a material decline in the assessment level of balance sheet strength.
- Negative rating action could also occur from a sustained drop in operating performance.
- Negative rating action may occur if the group's business profile is materially impacted by continued competitive pressure in its core lines of business.

## Key Financial Indicators

### Best's Capital Adequacy Ratio (BCAR) Scores (%)

| Confidence Level | 95.0 | 99.0 | 99.5 | 99.6 |
|------------------|------|------|------|------|
| BCAR Score       | 35.9 | 17.5 | 10.3 | 8.5  |

Source: Best's Capital Adequacy Ratio Model - L/H, US

| Key Financial Indicators USD (000) | 3-Months    |             | Year End - December 31 |             |             |             |             |
|------------------------------------|-------------|-------------|------------------------|-------------|-------------|-------------|-------------|
|                                    | 2025        | 2024        | 2024                   | 2023        | 2022        | 2021        | 2020        |
| <b>Assets:</b>                     |             |             |                        |             |             |             |             |
| General Account                    | 383,187,728 | 361,199,696 | 374,988,443            | 355,474,569 | 341,257,060 | 319,965,615 | 306,256,348 |
| Separate Accounts                  | 70,795,504  | 70,288,651  | 72,005,488             | 67,920,535  | 64,061,244  | 72,950,711  | 65,267,743  |
| Total                              | 453,983,232 | 431,488,347 | 446,993,932            | 423,395,104 | 405,318,304 | 392,916,326 | 371,524,092 |
| <b>Liabilities:</b>                |             |             |                        |             |             |             |             |
| Net Life Reserves                  | 260,889,716 | 248,119,477 | 255,958,052            | 246,333,140 | 239,870,669 | 223,991,244 | 218,007,759 |
| Net Accident & Health Reserves     | 10,988,146  | 10,975,022  | 11,086,452             | 10,916,793  | 10,630,497  | 10,004,625  | 9,376,525   |
| Liability for Deposit Contracts    | 49,646,058  | 42,757,804  | 47,059,367             | 40,186,120  | 35,314,819  | 31,665,487  | 28,228,529  |
| Asset Valuation Reserve            | 6,906,532   | 6,713,536   | 6,837,594              | 6,580,481   | 6,224,353   | 6,127,787   | 5,265,381   |
| Other General Account              | 31,076,482  | 29,288,504  | 29,812,811             | 28,085,188  | 27,323,957  | 25,573,686  | 25,769,608  |
| Total                              | 430,271,326 | 408,127,969 | 422,740,416            | 400,005,266 | 383,395,021 | 370,299,659 | 351,914,071 |
| Total Capital and Surplus          | 23,711,906  | 23,360,378  | 24,253,515             | 23,389,838  | 21,923,283  | 22,616,667  | 19,610,021  |
| Net Income                         | 283,280     | 307,874     | 250,194                | 804,608     | -1,126,692  | 277,127     | -530,821    |
| Net Premiums Earned                | 13,729,411  | 9,423,179   | 42,590,272             | 35,031,002  | 42,203,179  | 34,621,033  | 37,467,263  |
| Net Investment Income              | 3,640,146   | 3,359,717   | 14,659,282             | 13,731,896  | 11,790,834  | 12,068,997  | 11,136,757  |

Source: BestLink® - Best's Financial Suite

| Key Financial Ratios (%)                | 3-Months |      | Year End - December 31 |      |      |      |      | Weighted Average |
|-----------------------------------------|----------|------|------------------------|------|------|------|------|------------------|
|                                         | 2025     | 2024 | 2024                   | 2023 | 2022 | 2021 | 2020 |                  |
| Operating Return on Revenue             | 0.4      | 1.9  | 1.2                    | 1.3  | -1.7 | 1.6  | 0.5  | 0.6              |
| Operating Return on Capital and Surplus | 1.1      | 4.3  | 3.0                    | 2.9  | -4.2 | 3.7  | 1.1  | 1.3              |
| Net Investment Yield                    | 4.1      | 4.0  | 4.3                    | 4.2  | 3.8  | 4.1  | 3.9  | 4.1              |
| Pre-Tax Investment Total Return         | 3.8      | 3.6  | 3.9                    | 3.8  | 3.6  | 5.2  | 4.8  | 4.2              |

Source: BestLink® - Best's Financial Suite

|                                                    | 3-Months |       | Year End - December 31 |       |       |       |       |
|----------------------------------------------------|----------|-------|------------------------|-------|-------|-------|-------|
|                                                    | 2025     | 2024  | 2024                   | 2023  | 2022  | 2021  | 2020  |
| <b>Leverage (%)</b>                                |          |       |                        |       |       |       |       |
| General Account Liabilities to Capital and Surplus | 15.2     | 14.5  | 14.5                   | 14.2  | 14.6  | 13.1  | 14.6  |
| Higher Risk Assets to Capital and Surplus:         |          |       |                        |       |       |       |       |
| Mortgages Not in Good Standing                     | ...      | ...   | 1.0                    | 1.2   | 1.3   | ...   | 0.6   |
| All Other Higher Risk Assets                       | 151.3    | 149.2 | 143.5                  | 146.0 | 149.1 | 138.2 | 138.2 |

Source: BestLink® - Best's Financial Suite

|                                   | 3-Months  |           | Year End - December 31 |            |            |           |           |
|-----------------------------------|-----------|-----------|------------------------|------------|------------|-----------|-----------|
|                                   | 2025      | 2024      | 2024                   | 2023       | 2022       | 2021      | 2020      |
| <b>Liquidity Analysis</b>         |           |           |                        |            |            |           |           |
| Current Liquidity (%)             | 75.2      | 76.2      | 75.3                   | 76.1       | 75.2       | 76.6      | 76.6      |
| Net Operating Cash Flow USD (000) | 5,218,413 | 1,968,834 | 11,910,620             | 11,036,816 | 16,151,576 | 7,307,432 | 9,409,795 |

Source: BestLink® - Best's Financial Suite

## Credit Analysis

### Balance Sheet Strength

Risk adjusted capital has improved from prior year and continues to be "Very Strong" as defined by Best's Capital Adequacy Ratio (BCAR), and more than sufficient to support its current insurance and investment risks. Total statutory surplus in 2024 ended with the highest in New York Life history while simultaneously recording its highest dividend payout to eligible participating policy owners. New York Life has a track record of growing levels of absolute capital, ample financial flexibility, and abundant liquidity even under extreme stress scenarios, which drives its balance sheet strength assessment. The company's total available liquidity is considered strong and can support variability in cash flow requirements. The company has a diversified asset portfolio mix and has more than adequate back-up liquidity provided through a revolving line of credit with a syndicate of lenders, and access to both Federal Home Loan Banks (FHLB) of New York and Pittsburgh borrowing capacity.

### Capitalization

Historically, capital growth is driven by organic earnings growth and is within AM Best's guidelines for the company's current ratings on a risk-adjusted basis. The company has demonstrated a consistent long-term growth trajectory, evidenced by the increase in capital reported in 2024. Over the past ten years, it has achieved a CAGR of 4.3% in combined surplus and AVR, reflecting sustained capital accumulation and financial strength. NYL has more than ample resources for funding planned growth and maintains flexibility in managing surplus accumulation through its ability to adjust distribution of sales and its policyholder dividend.

|                                               | 3-Months   |            | Year End - December 31 |            |            |            |            |
|-----------------------------------------------|------------|------------|------------------------|------------|------------|------------|------------|
|                                               | 2025       | 2024       | 2024                   | 2023       | 2022       | 2021       | 2020       |
| <b>Capital Generation Analysis USD (000)</b>  |            |            |                        |            |            |            |            |
| Beginning Capital and Surplus                 | 24,253,515 | 23,389,838 | 23,389,838             | 21,923,283 | 22,616,667 | 19,610,021 | 24,441,089 |
| Net Operating Gain                            | 68,442     | 250,634    | 716,023                | 663,989    | -929,791   | 787,688    | 234,098    |
| Net Realized Capital Gains (Losses)           | 214,839    | 57,241     | -465,830               | 140,619    | -196,901   | -510,561   | -764,918   |
| Net Unrealized Capital Gains (Losses)         | -319,554   | -388,133   | -204,201               | -422,059   | 164,298    | 2,890,755  | 2,472,337  |
| Net Change in Paid-In Capital and Surplus     | 401        | 401        | 801                    | 801        | 801        | 801        | 1,334,359  |
| Stockholder Dividends                         | ...        | ...        | ...                    | ...        | ...        | ...        | -662,186   |
| Other Changes in Capital and Surplus          | -505,736   | 50,398     | 816,883                | 1,083,205  | 268,209    | -162,037   | -7,444,758 |
| Net Change in Capital and Surplus             | -541,609   | -29,460    | 863,677                | 1,466,555  | -693,384   | 3,006,646  | -4,831,068 |
| <b>Ending Capital and Surplus</b>             | 23,711,906 | 23,360,378 | 24,253,515             | 23,389,838 | 21,923,283 | 22,616,667 | 19,610,021 |
| Net Change in Capital and Surplus (%)         | -2.2       | -0.1       | 3.7                    | 6.7        | -3.1       | 15.3       | -19.8      |
| Net Change in Capital and Surplus (5 yr CAGR) | ...        | ...        | -0.2                   | ...        | ...        | ...        | ...        |

Source: BestLink® - Best's Financial Suite

## Balance Sheet Strength (Continued...)

### Asset Liability Management - Investments

NYL maintains strong diversification in its investment portfolio. The credit quality of NYL's fixed income portfolio remains strong with an average credit rating of single A and below investment grade bonds in-line with the industry. Allocations to bonds rated NAIC 1 and NAIC 2 were 61.4% and 33.1% in 2024 and have maintained this level over the past five years. Private investments increased in recent years as demonstrated by the increased exposure in 2024. New York Life increased its mortgage loan holdings slightly to 12.3% at year-end 2024 as the company looked to make strategic investments in this asset class. The fixed income portfolio is managed to limit exposure to individual issuers.

The company's commercial mortgage loan portfolio maintained a strong LTV in 2024 and holds more of a defensive posture with holdings overweight to industrial and apartment buildings. The group's portfolio includes private equity and CLO exposure, which is split between AAA and AA tranches. Overall, this portfolio is well-diversified. The private equity portfolio is mainly used to support the company's participating whole life policies, whereby the investment results are passed through to the policyholders. Given the group's size, capabilities, and very strong capitalization, it can continue to hold a larger allocation to Schedule BA assets.

| Composition of Cash and Invested Assets  | 3-Months     |              | Year End - December 31 |              |              |              |              |
|------------------------------------------|--------------|--------------|------------------------|--------------|--------------|--------------|--------------|
|                                          | 2025         | 2024         | 2024                   | 2023         | 2022         | 2021         | 2020         |
| Total Cash and Invested Assets USD (000) | 354,651,052  | 334,089,445  | 346,931,751            | 329,459,114  | 317,130,943  | 296,961,680  | 284,212,017  |
| Composition Percentages (%)              |              |              |                        |              |              |              |              |
| Unaffiliated:                            |              |              |                        |              |              |              |              |
| Cash and Short Term Investments          | 1.7          | 1.8          | 2.2                    | 1.7          | 2.8          | 1.5          | 2.1          |
| Bonds                                    | 72.4         | 73.0         | 71.7                   | 72.7         | 70.4         | 72.4         | 72.5         |
| Stocks                                   | 0.4          | 0.4          | 0.5                    | 0.4          | 0.8          | 1.0          | 0.8          |
| Mortgage Loans                           | 12.3         | 11.5         | 12.3                   | 11.8         | 12.2         | 11.8         | 12.2         |
| Other Invested Assets                    | 8.8          | 9.0          | 8.9                    | 9.1          | 9.2          | 8.6          | 8.1          |
| <b>Total Unaffiliated</b>                | <b>95.6</b>  | <b>95.8</b>  | <b>95.7</b>            | <b>95.7</b>  | <b>95.4</b>  | <b>95.4</b>  | <b>95.7</b>  |
| Investments in Affiliates                | 4.5          | 4.3          | 4.4                    | 4.3          | 4.7          | 4.7          | 4.3          |
| Non-Admitted                             | -0.1         | -0.1         | ...                    | -0.1         | -0.1         | -0.1         | ...          |
| <b>Total</b>                             | <b>100.0</b> | <b>100.0</b> | <b>100.0</b>           | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> | <b>100.0</b> |

Source: BestLink® - Best's Financial Suite

| Bonds and Short Term Investments - Distribution by Maturity (%) | Years       |             |             |             |             | Average (Years) |
|-----------------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-----------------|
|                                                                 | 0-1         | 1-5         | 5-10        | 10-20       | 20+         |                 |
| Government Bonds                                                | 2.0         | 1.0         | 0.8         | 0.5         | 2.9         | 12.5            |
| Government Agencies and Municipal Bonds                         | 0.2         | 1.2         | 2.3         | 3.4         | 3.0         | 14.5            |
| Industrial and Miscellaneous Bonds                              | 6.9         | 29.2        | 20.7        | 8.5         | 14.7        | 9.3             |
| Bank Loans                                                      | ...         | 0.4         | 0.2         | ...         | ...         | 4.4             |
| Hybrid Securities                                               | ...         | ...         | ...         | ...         | ...         | 3.0             |
| Affiliated Bonds                                                | 2.5         | 0.1         | 0.1         | ...         | ...         | 1.0             |
| <b>Total Bonds</b>                                              | <b>11.7</b> | <b>31.4</b> | <b>23.9</b> | <b>12.5</b> | <b>20.6</b> | <b>9.8</b>      |

Source: BestLink® - Best's Financial Suite

## Balance Sheet Strength (Continued...)

|                                        | Year End - December 31 |             |             |             |             |
|----------------------------------------|------------------------|-------------|-------------|-------------|-------------|
| Bonds - Distribution by Issuer         | 2024                   | 2023        | 2022        | 2021        | 2020        |
| Bonds USD (000)                        | 256,092,536            | 246,315,242 | 230,432,223 | 221,375,658 | 211,441,061 |
| US Government (%)                      | 4.9                    | 5.8         | 6.2         | 6.8         | 6.5         |
| Foreign Government (%)                 | 0.5                    | 0.5         | 0.5         | 0.5         | 0.5         |
| Foreign - All Other (%)                | 17.9                   | 17.7        | 16.8        | 16.3        | 15.6        |
| State, Municipal & Special Revenue (%) | 10.4                   | 12.7        | 13.7        | 15.7        | 17.7        |
| Industrial & Miscellaneous (%)         | 63.2                   | 59.7        | 59.4        | 57.7        | 57.2        |
| SVO Identified (%)                     | 0.3                    | 0.9         | 0.4         | 0.1         | ...         |
| Affiliated (%)                         | 2.8                    | 2.8         | 3.1         | 2.8         | 2.6         |
| Total Bonds (%)                        | 100.0                  | 100.0       | 100.0       | 100.0       | 100.0       |

Source: BestLink® - Best's Financial Suite

## Operating Performance

New York Life Insurance Company is a mutual company whose core profits are driven from the spread earned on the investment risk and mortality from its large block of life insurance and annuity products. However, as the company has grown its business operations through the years, it has also expanded its fee-based revenue, contributing to greater earnings diversification. A disciplined pricing approach has enabled the company to generate consistent profits on both a statutory and MSTAT basis. (MSTAT is modified statutory accounting; NYL's internal management accounting standard.) New York Life continues to be a leader in life insurance and annuity sales with core earnings from diverse sources.

On a statutory basis, NYL reported a pre-tax operating gain of \$975 million in 2024, a slight decrease from \$1.1 billion the prior year, but continues to be favorable. The continued positive earnings were related due to continued strength in annuities, favorable margins and lower expenses in the accident and health lines, offset by losses seen in the life business due to higher surrenders on life products as lapse rates are beginning to normalize to pre-pandemic levels. Whole life insurance remains NYL's cornerstone product and remains the majority of overall life premiums. The Group Benefits Solutions business experienced continued positive results in 2024, improving on the prior year with increased sales and lower mortality rates and an improved disability loss ratio.

Net Investment Income for the year ended December 31, 2024, was \$14.7 billion, an increase from \$13.7 billion in the prior year. Credit performance has continued on a very strong pace, with nominal levels of impairments.

|                                     | Year End - December 31 |          |          |          |          |
|-------------------------------------|------------------------|----------|----------|----------|----------|
| Net Operating Gain By LOB USD (000) | 2024                   | 2023     | 2022     | 2021     | 2020     |
| Individual Life                     | -376,212               | -416,886 | -365,400 | 209,547  | -290,024 |
| Group Life                          | 224,801                | 188,495  | -11,570  | -222,703 | 78,255   |
| Individual Annuities                | -65,656                | 193,845  | -907,256 | 432,019  | 49,478   |
| Group Annuities                     | 347,046                | 411,586  | 268,200  | 289,430  | 174,544  |
| Accident & Health                   | 422,609                | 198,154  | -106,368 | -70,142  | 210,465  |
| Other Lines of Business             | 163,435                | 88,794   | 192,603  | 149,536  | 11,379   |
| Total                               | 716,023                | 663,989  | -929,791 | 787,688  | 234,098  |

Source: BestLink® - Best's Financial Suite

|                                       | Year End - December 31 |           |           |           |           |
|---------------------------------------|------------------------|-----------|-----------|-----------|-----------|
| Accident & Health Statistics          | 2024                   | 2023      | 2022      | 2021      | 2020      |
| Net Premiums Written USD (000)        | 3,215,993              | 3,153,170 | 3,044,242 | 2,899,356 | 3,076,951 |
| Net Premiums Earned USD (000)         | 3,212,569              | 3,148,278 | 3,041,332 | 2,892,407 | 3,080,005 |
| Claims and Cost Containment Ratio (%) | 80.0                   | 85.2      | 95.8      | 97.3      | 85.1      |
| Expense Ratio (%)                     | 22.6                   | 23.9      | 23.8      | 24.0      | 22.3      |
| Combined Ratio (%)                    | 102.6                  | 109.2     | 119.6     | 121.3     | 107.5     |
| Underwriting Results USD (000)        | -105,856               | -322,658  | -578,886  | -654,473  | -211,230  |

Source: BestLink® - Best's Financial Suite

## Business Profile

NYL is organized into two major businesses: the Foundational Business and the Strategic Businesses. The Foundational Business sells retail life insurance, annuities, and LTC insurance through NYL's career agency distribution system. Businesses not included in the Foundational Business are part of NYL's Strategic Businesses which exist to support NYL's core Foundational Business. The Strategic Businesses include New York Life Group Benefit Solutions (GBS) which NYL acquired from Cigna Corporation in December 2020. GBS diversifies NYL's risk profile while increasing its portfolio size. GBS is a top 5 player in group benefits that has relatively low capital requirements and less reliance on interest rates. NYL's Strategic Businesses includes New York Life Investment Management (NYLIM) which is a multi-boutique model comprised of a set of specialized institutional investment firms and had net investment inflows in 2024 providing NYL with a high return and less capital intense business. Other Strategic Businesses are New York Life Direct, Institutional Life, Institutional Annuities, Group Membership Association, and Seguros Monterrey New York Life. The broad product offerings and brand recognition combined with a very strong and dedicated career agency field force with a direct distribution network helps NYL maintain a strong competitive position in key markets. Although the career agency network has higher fixed costs and lower variable costs as compared to other distribution channels, it affords NYL a degree of control over distribution not found in other channels.

The NYL managerial career agency channel is a unique strength for the company. Many new life cases continue to be written by agents affiliated with a cultural market as a result of an over three-decade long term commitment to America's growing cultural communities. The company also distributed its largest dividend to eligible policyholders in 2024. In the prior year, the company prioritized reducing business strain in response to outsized growth. It has since continued to demonstrate prudent expense management and controlled expansion. The retail annuities business is very diverse given the company's strength in guaranteed income, fixed deferred, and variable annuities. The majority of variable annuity sales had premium-based M&E feeds, reducing the overall volatility of the revenue.

Most annuity products have market value adjustment (MVA) features which allows the company to share interest rate risk with policyholders, and NYL continues to maintain strong spread margins. NYL is making targeted investments in technology and AI to further strengthen capabilities in support of continued growth and data security.

New York Life is the leading writer of direct market life insurance through its relationship with AARP. In 2020, NYL closed its acquisition of Cigna's group life and disability insurance business which was rebranded as New York Life Group Benefit Solutions (GBS). GBS has seen growth the past two years and has exceeded its forecasts.

|                              | Direct Premiums Written |              | Reinsurance Premiums Assumed |              | Reinsurance Premiums Ceded |              | Net Premiums Written |              | Business Retention |
|------------------------------|-------------------------|--------------|------------------------------|--------------|----------------------------|--------------|----------------------|--------------|--------------------|
|                              | USD (000)               | %            | USD (000)                    | %            | USD (000)                  | %            | USD (000)            | %            |                    |
| <b>2024 By Line Business</b> |                         |              |                              |              |                            |              |                      |              |                    |
| Individual Life              | 11,930,376              | 27.6         | 200,301                      | 10.4         | 1,250,295                  | 48.3         | 10,880,382           | 25.5         | 89.7               |
| Group Life                   | 3,760,432               | 8.7          | 1,734,178                    | 89.6         | 1,288,290                  | 49.8         | 4,206,320            | 9.9          | 76.6               |
| Individual Annuities         | 20,288,968              | 46.9         | ...                          | ...          | ...                        | ...          | 20,288,968           | 47.6         | 100.0              |
| Group Annuities              | 4,000,051               | 9.3          | ...                          | ...          | ...                        | ...          | 4,000,051            | 9.4          | 100.0              |
| Accident & Health            | 3,262,683               | 7.5          | 301                          | ...          | 48,432                     | 1.9          | 3,214,552            | 7.5          | 98.5               |
| <b>Total</b>                 | <b>43,242,510</b>       | <b>100.0</b> | <b>1,934,779</b>             | <b>100.0</b> | <b>2,587,017</b>           | <b>100.0</b> | <b>42,590,272</b>    | <b>100.0</b> | <b>94.3</b>        |

Source: BestLink® - Best's Financial Suite

### Year End - December 31

#### Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

|                                | 2024       | 2023       | 2022       | 2021       | 2020       |
|--------------------------------|------------|------------|------------|------------|------------|
| Delaware                       | 19,055,803 | 11,622,129 | 7,053,722  | 8,883,661  | 6,080,457  |
| New York                       | 7,252,842  | 5,654,577  | 8,906,870  | 4,898,820  | 7,605,571  |
| California                     | 5,083,885  | 4,420,781  | 5,465,327  | 4,209,853  | 4,280,064  |
| Texas                          | 3,098,517  | 2,699,930  | 3,028,090  | 2,458,106  | 2,689,472  |
| Florida                        | 2,270,335  | 1,946,955  | 2,469,530  | 1,864,601  | 1,814,847  |
| Top 5 States                   | 36,761,383 | 26,344,372 | 26,923,540 | 22,315,042 | 22,470,411 |
| All Other                      | 24,411,476 | 20,711,298 | 24,099,586 | 19,756,298 | 20,895,959 |
| Total                          | 61,172,859 | 47,055,670 | 51,023,126 | 42,071,340 | 43,366,370 |
| Geographic Concentration Index | 0.13       | ...        | ...        | ...        | ...        |

Source: BestLink® - Best's Financial Suite



## **Enterprise Risk Management**

NYL maintains a disciplined enterprise-wide approach to risk management that ensures risks are properly identified, evaluated, and controlled in line with the company's risk strategy and capacity. Risk appetite for the company is well defined and bounded by certain constraints such as capital, earnings, liquidity, and franchise value. Rigorous stress testing is performed and various scenarios are designed to capture tail risk events that pose a threat to the company. Most importantly, NYL management has relied on its risk management analysis to help drive decision making. The risk framework within NYL is designed to identify and mitigate risks that could seriously harm the financial strength or reputation of the Company.

The overall Enterprise Risk Management program is well-established and a risk discipline has been embedded within NYL touching on all operations, with risk identification, assessment, and mitigation embedded within its business units. NYL's Risk Steering Committee is comprised of senior management that provides direction on major risk issues and sets overall corporate risk tolerance. The Risk Steering Committee is supported by company-wide Financial Risk, Operational Risk, and Stress Testing Working Groups, comprised of business unit and corporate risk managers that profile and evaluate risk across the organization. NYL has also established a Business Security Council that ensures information security policies and standards provide appropriate protection. Formal enterprise risk management and risk appetite statements have been adopted and firm wide stress test scenarios are updated on a regular basis. Implementation of a Governance, Risk, and Compliance tool further enhances risk management across various areas of the company. NYL also established financial risk mapping, incorporating probability, degree of severity, and impact of certain risks across the company.

NYL's cyber program is focused on preserving the confidentiality, integrity, availability, and security of information used by the Company and information entrusted to NYL by its customers and business partners. Control requirements are aligned with internationally recognized industry standards for security and best practices available in the marketplace. The company has been focused on expanding its cloud and system platforms and has been investing in new and emerging technologies.

## **Reinsurance Summary**

The company uses a variety of reinsurance agreements with insurers to control its loss exposure. Under the terms of the reinsurance agreements, the reinsurers will be liable to reimburse the Company for the ceded amount in the event a claim on a reinsured policy is paid. The Company remains primarily liable for all claims payable on reinsured policies, even if the reinsurer fails to meet its obligations under the reinsurance agreement. Reinsurance assumed decreased year-over-year as reinsurance ceded increased. Effective December 31, 2023, the Company entered into a strategic indemnity reinsurance agreement on a coinsurance with funds withheld basis with Munich Re. Under the agreement, the Company ceded on a quota share basis 85% of all the risks under certain term life policies and respective riders issued by the Company between January 1, 2000 and December 31, 2019.

In 2025, NYLIAC entered into a 100% funds withheld reinsurance agreement with Everlake Life Insurance Company (Everlake) for fixed deferred annuities. Everlake is owned by Blackstone, who will manage the ceded assets under mutually agreed investment guidelines on a flow basis.

## **Environmental, Social & Governance**

AM Best believes that there is low risk to ESG factors and that NYL has limited exposure to ESG factors. Credit quality, investment risk, and underwriting activities are also viewed as having limited ESG risk.



## Financial Statements

|                                               | 3-Months           |              | Year End - December 31 |              |                    |              |
|-----------------------------------------------|--------------------|--------------|------------------------|--------------|--------------------|--------------|
|                                               | 2025               |              | 2024                   |              | 2023               |              |
| <b>Balance Sheet</b>                          | <b>USD (000)</b>   | <b>%</b>     | <b>USD (000)</b>       | <b>%</b>     | <b>USD (000)</b>   | <b>%</b>     |
| Cash and Short Term Investments               | 6,112,264          | 1.3          | 7,765,227              | 1.7          | 5,579,948          | 1.3          |
| Bonds                                         | 264,387,442        | 58.2         | 256,092,536            | 57.3         | 246,315,242        | 58.2         |
| Preferred and Common Stock                    | 1,480,164          | 0.3          | 1,584,281              | 0.4          | 1,410,574          | 0.3          |
| Other Invested Assets                         | 82,671,182         | 18.2         | 81,489,707             | 18.2         | 76,153,350         | 18.0         |
| <b>Total Cash and Invested Assets</b>         | <b>354,651,052</b> | <b>78.1</b>  | <b>346,931,751</b>     | <b>77.6</b>  | <b>329,459,114</b> | <b>77.8</b>  |
| Premium Balances                              | 2,524,977          | 0.6          | 2,352,014              | 0.5          | 2,461,320          | 0.6          |
| Net Deferred Tax Asset                        | 3,164,575          | 0.7          | 3,151,164              | 0.7          | 2,814,499          | 0.7          |
| Other Assets                                  | 22,847,124         | 5.0          | 22,553,515             | 5.0          | 20,739,635         | 4.9          |
| <b>Total General Account Assets</b>           | <b>383,187,728</b> | <b>84.4</b>  | <b>374,988,443</b>     | <b>83.9</b>  | <b>355,474,569</b> | <b>84.0</b>  |
| Separate Account Assets                       | 70,795,504         | 15.6         | 72,005,488             | 16.1         | 67,920,535         | 16.0         |
| <b>Total Assets</b>                           | <b>453,983,232</b> | <b>100.0</b> | <b>446,993,932</b>     | <b>100.0</b> | <b>423,395,104</b> | <b>100.0</b> |
| Net Life Reserves                             | 260,889,716        | 57.5         | 255,958,052            | 57.3         | 246,333,140        | 58.2         |
| Net Accident & Health Reserves                | 10,988,146         | 2.4          | 11,086,452             | 2.5          | 10,916,793         | 2.6          |
| Liability for Deposit Contracts               | 49,646,058         | 10.9         | 47,059,367             | 10.5         | 40,186,120         | 9.5          |
| Asset Valuation Reserve                       | 6,906,532          | 1.5          | 6,837,594              | 1.5          | 6,580,481          | 1.6          |
| Other Liabilities                             | 31,076,482         | 6.8          | 29,812,811             | 6.7          | 28,085,188         | 6.6          |
| <b>Total General Account Liabilities</b>      | <b>359,506,934</b> | <b>79.2</b>  | <b>350,754,275</b>     | <b>78.5</b>  | <b>332,101,723</b> | <b>78.4</b>  |
| Separate Account Liabilities                  | 70,764,392         | 15.6         | 71,986,141             | 16.1         | 67,903,544         | 16.0         |
| <b>Total Liabilities</b>                      | <b>430,271,326</b> | <b>94.8</b>  | <b>422,740,416</b>     | <b>94.6</b>  | <b>400,005,266</b> | <b>94.5</b>  |
| Unassigned Surplus                            | 18,759,818         | 4.1          | 19,216,674             | 4.3          | 18,722,651         | 4.4          |
| Other Surplus                                 | 4,952,088          | 1.1          | 5,036,841              | 1.1          | 4,667,187          | 1.1          |
| <b>Total Capital and Surplus</b>              | <b>23,711,906</b>  | <b>5.2</b>   | <b>24,253,515</b>      | <b>5.4</b>   | <b>23,389,838</b>  | <b>5.5</b>   |
| <b>Total Liabilities, Capital and Surplus</b> | <b>453,983,232</b> | <b>100.0</b> | <b>446,993,932</b>     | <b>100.0</b> | <b>423,395,104</b> | <b>100.0</b> |

Source: BestLink® - Best's Financial Suite

| Income Statement USD (000)                | 3-Months   |            | Year End - December 31 |            |
|-------------------------------------------|------------|------------|------------------------|------------|
|                                           | 2025       | 2024       | 2024                   | 2023       |
| Net Premiums Earned:                      |            |            |                        |            |
| Individual Life                           | ...        | ...        | 10,880,382             | 9,659,971  |
| Group Life                                | ...        | ...        | 4,206,320              | 4,240,608  |
| Individual Annuities                      | ...        | ...        | 20,288,968             | 14,218,792 |
| Group Annuities                           | ...        | ...        | 4,000,051              | 3,763,175  |
| Accident & Health                         | ...        | ...        | 3,214,552              | 3,148,456  |
| Total Net Premiums Earned                 | 13,729,411 | 9,423,179  | 42,590,272             | 35,031,002 |
| Net Investment Income                     | 3,640,146  | 3,359,717  | 14,659,282             | 13,731,896 |
| Reserve Adjustments on Reinsurance Ceded  | -18,794    | -18,116    | -70,598                | -87,601    |
| Other Income                              | 346,617    | 401,114    | 1,520,352              | 1,876,888  |
| Total Revenue                             | 17,697,379 | 13,165,894 | 58,699,308             | 50,552,185 |
| Policy Benefits                           | 15,484,015 | 11,548,168 | 51,245,412             | 42,443,037 |
| Commissions and Expense Allowances        | 440,092    | 366,609    | 1,537,991              | 1,524,324  |
| Insurance and Other Expense               | 1,230,471  | 1,298,252  | 5,388,563              | 5,994,442  |
| Net Transfers to (from) Separate Accounts | -136,363   | -871,598   | -3,099,643             | -2,920,735 |
| Dividends to Policyholders                | 636,859    | 567,041    | 2,651,320              | 2,388,989  |
| Pre-Tax Net Operating Gain                | 42,305     | 257,423    | 975,665                | 1,122,128  |
| Income Taxes Incurred                     | -26,137    | 6,789      | 259,642                | 458,138    |
| Net Operating Gain                        | 68,442     | 250,634    | 716,023                | 663,989    |
| Net Realized Capital Gains                | 214,839    | 57,241     | -465,830               | 140,619    |
| Net Income                                | 283,280    | 307,874    | 250,194                | 804,608    |

Source: BestLink® - Best's Financial Suite

| Statement of Operating Cash Flows USD (000) | 3-Months   |            | Year End - December 31 |            |
|---------------------------------------------|------------|------------|------------------------|------------|
|                                             | 2025       | 2024       | 2024                   | 2023       |
| Net Premiums Collected                      | 12,706,259 | 9,403,482  | 38,707,764             | 36,646,277 |
| Net Investment Income                       | 3,654,183  | 3,276,097  | 13,742,530             | 12,596,181 |
| Other Income Received                       | 348,061    | 406,806    | 1,604,360              | 1,576,098  |
| Total Collected Operating Revenue           | 16,708,503 | 13,086,384 | 54,054,654             | 50,818,556 |
| Net Benefits and Loss Related Payments      | 9,124,452  | 9,425,532  | 36,138,707             | 34,701,972 |
| Commissions and Other Expenses Paid         | 1,922,484  | 1,918,819  | 6,159,758              | 5,806,819  |
| Net Transfers to (from) Separate Accounts   | -155,442   | -815,867   | -3,018,935             | -2,956,872 |
| Dividends to Policyholders                  | 603,078    | 547,375    | 2,363,435              | 2,137,447  |
| Income Taxes Paid (Recovered)               | -4,482     | 41,691     | 501,070                | 92,374     |
| Total Paid Expenses and Transfers           | 11,490,090 | 11,117,550 | 42,144,034             | 39,781,740 |
| Net Operating Cash Flow                     | 5,218,413  | 1,968,834  | 11,910,620             | 11,036,816 |

Source: BestLink® - Best's Financial Suite

## Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 08/15/2024](#)

[Evaluating US Surplus Notes, 06/13/2024](#)

[Rating Funding Agreement-Backed Securities Programs, 03/08/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025](#)



## Additional Rating Types

AM Best assigns Best's Issue Credit Ratings. Refer to the profile page to view current Issue Ratings for [New York Life Insurance Co \(AMB#006820\)](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

A Best's Issue/Issuer Credit Rating is an opinion regarding the relative future credit risk of an entity, a credit commitment or a debt or debt-like security.

Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. These credit ratings do not address any other risk, including but not limited to liquidity risk, market value risk or price volatility of rated securities. The rating is not a recommendation to buy, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor does it address the suitability of any particular financial obligation for a specific purpose or purchaser.

In arriving at a rating decision, AM Best relies on third-party audited financial data and/or other information provided to it. While this information is believed to be reliable, AM Best does not independently verify the accuracy or reliability of the information. Any and all ratings, opinions and information contained herein are provided "as is," without any express or implied warranty.

Visit <https://www.ambest.com/ratings/index.html> for additional information or <https://web.ambest.com/about/terms-of-use> for details on the Terms of Use.

**Copyright © 2025 A.M. Best Company, Inc. and/or its affiliates. All rights reserved** No portion of the content may be reproduced, distributed, or stored in a database or retrieval system, or transmitted, or uploaded into any external applications, algorithms, bots or websites, including those using artificial intelligence or machine learning technologies such as large language models (LLM) and generative artificial intelligence (Gen-AI) or retrieval-augmented generation (RAG) in any form or by any means without the prior written permission of AM Best. AM Best does not warrant the accuracy, completeness, or timeliness of the AM Best content. While the content was obtained from sources believed to be reliable, its accuracy is not guaranteed. You specifically acknowledge that neither AM Best nor the content gives any investment, financial, tax, insurance, or legal advice. You are solely responsible for seeking competent professional advice before making any investment, financial, tax or insurance decision. For additional details, refer to our *Terms of Use* available at the AM BEST website: <https://web.ambest.com/about/terms-of-use>. All information contained herein was obtained by AM BEST from sources believed by it to be accurate and reliable. Notwithstanding the foregoing, AM BEST does not make any representation or warranty, expressed or implied, as to the accuracy or completeness of the information contained herein, and all such information is provided on an "as is" and "as available" basis, without any warranties of any kind, either express or implied. Under no circumstances shall AM BEST have any liability to any person or entity for (a) any loss or damage of any kind, in whole or in part caused by, resulting from, or relating to, any error (negligent or otherwise) or other circumstance or contingency within or outside the control of AM BEST or any of its directors, officers, employees, or agents in connection with the procurement, collection, compilation, analysis, interpretation, communication, publication or delivery of any such information, or (b) any direct, indirect, special, consequential, compensatory, punitive or incidental damages whatsoever (including without limitation, personal injury, pain and suffering, emotional distress, loss of revenue, loss of present or prospective profits, loss of business or anticipated savings, or loss of goodwill) resulting from the use of, or inability to use, any such information, in each case, regardless of (i) whether AM BEST was advised in advance of the possibility of such damages, (ii) whether such damages were foreseeable, and (iii) the legal or equitable theory (contract, tort or otherwise) upon which the claim is based. The credit ratings, performance assessments, financial reporting analysis, projections, and any other observation, position or conclusion constituting part of the information contained herein are, and shall be construed solely as, statements of opinion and not statements of fact or recommendations to purchase, sell or hold any securities, insurance policies, contracts or any other financial obligations, nor do they individually or collectively address the suitability of any particular financial obligation for a specific purpose or purchaser. Credit risk is the risk that an entity may not meet its contractual, financial obligations as they come due. Service performance risk is the risk that an entity may not meet its contractual service performance obligations on behalf of its insurance partners. Consequently, neither credit ratings nor performance assessments address any other risk, including but not limited to, liquidity risk, market value risk or price volatility of rated securities. NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY SUCH RATING OR ASSESSMENT OR OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY AM BEST IN ANY FORM OR MANNER WHATSOEVER. Each credit rating, performance assessment or other opinion must be weighed solely as one factor in any investment or purchasing decision made by or on behalf of any user of the information contained herein. Each such user will, with due care, make its own study and evaluation of each security or other financial obligation, and of each issuer and guarantor of, and each provider of credit support, and an independent view of service provider performance for, each security or other financial obligation that it may consider purchasing, holding, or selling or for each service contract that it may consider entering into. For additional detail on credit ratings or performance assessments, and their respective scales, usage, and limitations, refer to the Guide to Best's Credit Ratings (<https://www.ambest.com/ratings/index.html>) or the Guide to Best's Performance Assessments (<https://www.ambest.com/ratings/assessmentMethodology.html>).

**Reports were prepared exclusively for the use of Sarah Barchman. Not for redistribution unless otherwise permitted.**